COURSE

## Pearson Edexcel International GCSE in Business (4BS1)

# External influences

**Section 1 · 1.5 Business and the international economy; 1.6 Government objectives; 1.7 External factors**

Revision for Section 1: each firm works it out on its own deals.

| Class | Topic |
|---|---|
| **Pearson Edexcel International GCSE Business (4BS1)** | **External influences** |

THE LESSON

| | | | | | |
|---|---|---|---|---|---|
| **Setup** | | | | | 3 min |
| **Round 1** | Decisions 3 min · Deals 5 min · Topic tasks 4 min | | | | |
| **Firm decisions** | **Deals** | TASK 1 **Rates and car sales** | TASK 2 **Unemployment rises** | | |
| **Round 2** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min | | | | |
| **Firm decisions** | **Deals** | TASK 3 **Rate rise effects** | TASK 4 **Import cost rise** | **B2B deal** | |
| **Round 3** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min | | | | |
| **Firm decisions** | **Deals** | TASK 5 **Euro or UK supplier** | TASK 6 **Staff real income** | **B2B deal** | |
| **Final questions** | | | | | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Interest rates rise. Many of your buyers pay for their cars with a loan.

**What is the most likely effect on your sales?**

PICK ONE

- ○ No change: buyers need cars
- ✔ **Sales fall as loans cost more**
- ○ Sales rise as prices fall
- ○ Sales rise as savers earn more

**Why:** Higher interest makes loans dearer, so fewer people buy on credit.

## Task 2

ROUND 1

Unemployment in your area rises sharply.

**Which two effects on your firm are most likely?**

PICK TWO

- ○ Banks lend more freely
- ✔ **Fewer buyers for new cars**
- ○ Higher wages to keep staff
- ✔ **More buyers want cheaper cars**
- ○ More buyers want premium models

**Why:** Less income means fewer big purchases, and buyers trade down.

## Task 3

ROUND 2

The Bank of England raises interest rates.

**Put the effects in order, first to last?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Car loans cost more each month**
2. **Fewer people buy on credit**
3. **Your sales fall**
4. **You order fewer cars**

**Why:** Dearer loans, fewer buyers, lower sales, so you buy less stock.

## Task 4

ROUND 2

The pound falls. Your parts come from Europe.

**Rise in the parts' cost a month, in £?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Parts each month, in euros | **12000 €** |
| £1 buys, before | **1 rate** |
| £1 buys, now | **1 rate** |

METHOD

**Rise = euros ÷ new rate − euros ÷ old rate**

€12,000 ÷ 1.00 − €12,000 ÷ 1.20 = £2,000

**Why:** A weaker pound buys fewer euros, so imports cost more in pounds.

## Task 5

ROUND 3

£1 buys €1.10. For the same order, a UK supplier asks £10,000; a German one asks €11,550.

**Which supplier should you use, and why?**

PICK A OR B AND GIVE A REASON

- ○ The German supplier
- ✔ **The UK supplier**

**Why:** €11,550 ÷ 1.10 = £10,500, so the UK order is £500 cheaper.

## Task 6

ROUND 3

Prices in the shops rise 8% this year. Your staff get a 3% pay rise.

**What happens to their real income?**

PICK ONE

- ✔ **It falls by about 5%**
- ○ It rises by about 11%
- ○ It rises by about 3%
- ○ It stays the same

**Why:** Pay rises more slowly than prices, so it buys about 5% less.

# Final questions

**6**
questions for each pupil

**159**
Level 2 Business questions

**10**
of them on external influences

**The game draws 6 of the 159 Level 2 questions; these 10 are about external influences.**

1 How is a rise in interest rates most likely to affect a dealership with a variable-rate loan?
**Interest payments may rise, raising costs.**

2 Unemployment rises sharply in the local area. What is one likely effect on a dealership selling mainly to local households?
**Demand may fall as households have less income.**

3 Why must a motor retailer consider employment law when recruiting staff?
**It must treat applicants fairly and lawfully.**

4 Consumer confidence rises and more households feel secure about major purchases. What may happen to demand for cars?
**Demand is likely to rise.**

5 Local unemployment rises: more technicians apply, but demand for premium servicing weakens. Which response is most balanced?
**Recruit needed skills and update forecasts for weaker demand.**

6 A recession reduces household spending on premium cars. Which response is most appropriate?
**Review stock and offer better value.**

7 A new safety rule applies to workshop equipment. What should the business do?
**Check compliance, update equipment, train staff.**

# Final questions

**8** The pound weakens, so an imported component costs more in sterling. What is the likely effect on a UK workshop?

**Its input cost may rise, cutting margin.**

**9** Why should the CEO monitor economic, technological and legal changes?

**They can change demand and costs.**

**10** In a recession the economy shrinks, unemployment rises and people spend less. A dealer sells new cars and repairs. Using this description, what should it expect?

**New car sales fall more than repairs; old cars stay running.**